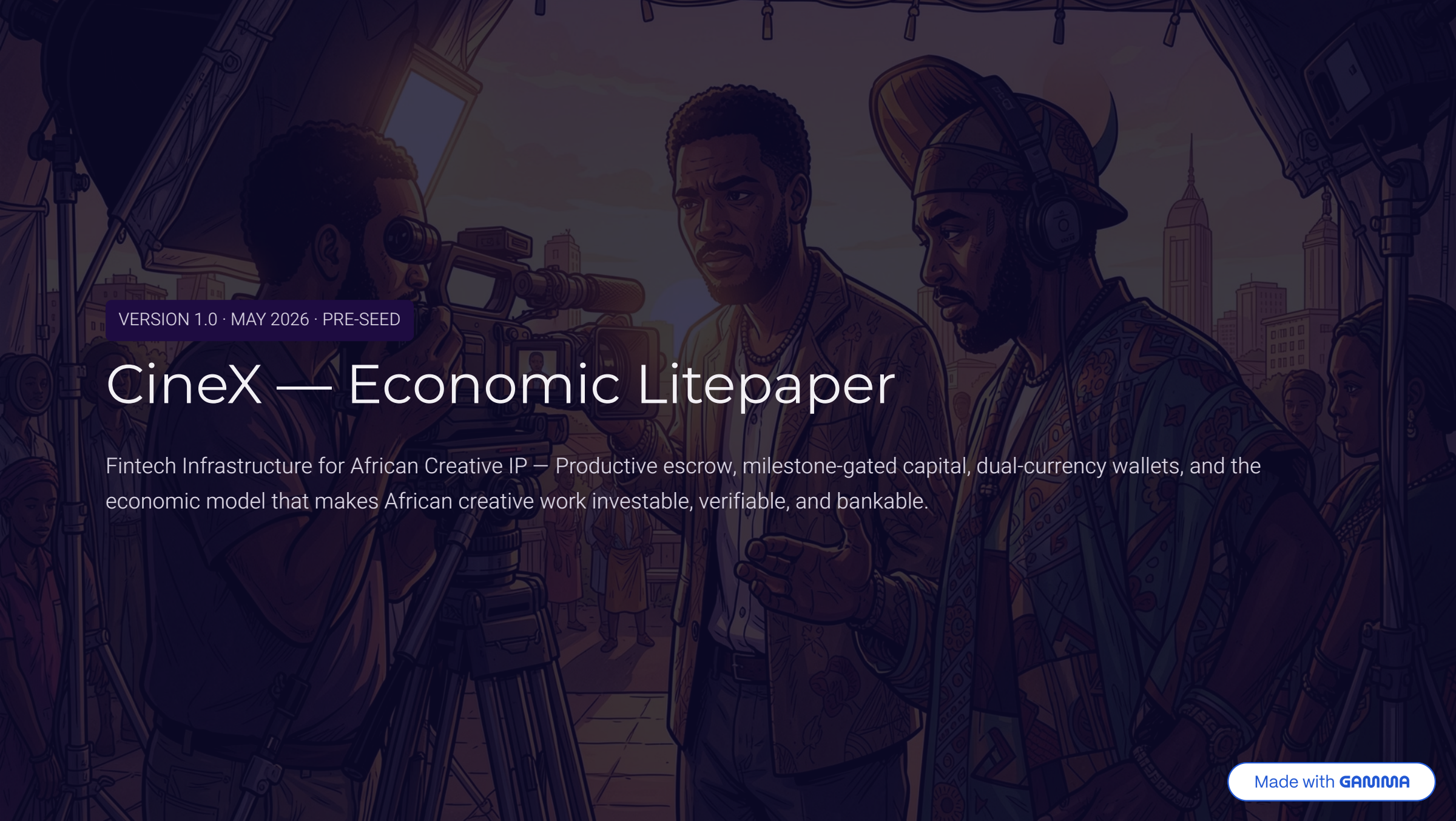


A detailed illustration of a film set. In the foreground, a man with a beard and short hair is operating a professional video camera on a tripod. To his right, another man with a beard and a patterned jacket is gesturing with his hands while talking. Further right, a man wearing a patterned headwrap and large headphones is looking towards the camera operator. In the background, a woman is visible, and the setting appears to be an outdoor location with a city skyline, including a prominent skyscraper, visible in the distance. The overall style is a detailed line drawing with a muted color palette.

VERSION 1.0 · MAY 2026 · PRE-SEED

CineX — Economic Litepaper

Fintech Infrastructure for African Creative IP — Productive escrow, milestone-gated capital, dual-currency wallets, and the economic model that makes African creative work investable, verifiable, and bankable.

Executive Summary

CineX is building **the financial infrastructure layer for Africa's creative economy** — a unified system that connects verified African creators (filmmakers, musicians, game developers, immersive media artists) with global capital, using milestone-gated payouts, productive escrow with automated yield distribution, and dual-currency (NGN/USD) wallets that abstract away blockchain complexity entirely.

Africa's creative economy is valued at over **\$5 billion**, yet virtually none of it is bankable. Creatives cannot access financing because there is no system to verify identity, release funds conditionally, or give backers confidence their capital is safe. Existing solutions are either donation-based (Kickstarter-style, no accountability) or require collateral and credit history that most African creatives do not have.

CineX solves this by providing a **full-stack financing infrastructure**.

34

Gatekeepers Committed

\$1M+

Pipeline Value

70/20/10

Yield Split

Backer / Platform / Creator

\$200B

TAM

Global Creative Economy

29

Smart Contracts Deployed

50

Passing Tests

i CineX is raising a **\$600,000 pre-seed round** at a \$5M post-money valuation (\$4.4M pre-money) to deploy the platform on Stacks mainnet, commission 4 pilot projects across film, documentary, and immersive media, onboard the 34 committed gatekeepers, build the dual-currency wallet, and achieve regulatory compliance.

The Problem — Africa's \$5B+ Creative Capital Gap

Africa's creative economy generates **\$5+ billion annually** across film (Nollywood: \$6.4B GDP contribution), music (Afrobeats global export), gaming (\$1B+), and emerging immersive media. Nigeria alone has over **500,000 active filmmakers** and **1M+ creatives** across all verticals. Yet the financing infrastructure is virtually non-existent.

Market Validation

The team conducted **structured discovery sessions** with 34 creative guild leaders, association heads, film producers, music label executives, and game studio founders across Nigeria.

- **93.5%** of initial conversations were in Nigeria — reflecting the country's dominant creative economy position
- Average project budget: **\$9,000** — accessible capital makes a disproportionate impact
- Most pressing need: *"Someone to verify we are real and hold funds safely"*
- Gatekeepers consistently said: *"If you build the verification system, we will bring our networks"*

The Capital Access Problem

- **No identity verification** — Creatives cannot prove who they are or that they deliver on promises. Traditional credit scoring excludes 80%+ of African creatives.
- **No conditional release** — Capital is either grant-funded (no accountability) or requires full upfront payment (impossible for most projects).
- **No backer confidence** — No mechanism to hold funds securely and release them only when work is verified. Fraud and abandonment are endemic.
- **Currency friction** — Global backers transact in USD; Nigerian creatives need NGN. Conversion costs 3-5% through traditional channels with multi-day settlement.
- **No productive use of idle capital** — Funds sit in bank accounts earning zero yield while awaiting milestone completion. This is a massive opportunity cost.

The result: Most African creative projects are financed by personal savings, family loans, or not at all. Institutional capital — impact funds, development finance institutions (DFIs), entertainment debt funds — cannot deploy because there is no verifiable, transparent infrastructure to route capital through.

The Solution — A Unified Financing Rail

CineX provides four interconnected capabilities that make African creative IP a real asset class:

1

Verified Project Onboarding

No blind funding. Every project is vouched for by a trusted gatekeeper before it reaches the platform. Gatekeepers are guild leaders, association heads, and industry influencers who can verify a creative's identity and track record. CineX has 34 gatekeepers already committed, representing a pipeline of **3,400+ potential creatives** at zero marginal cost.

2

Milestone-Gated Payouts

Capital does not flow upfront. Each project is broken into milestones. When a milestone is completed and verified by backers, the next tranche is released. If work is not delivered, the remaining capital stays protected. This is **not crowdfunding** — it is conditional financing with accountability built in at the protocol level.

3

Productive Escrow (70/20/10 Model)

While capital sits in escrow awaiting milestone completion, it is deployed to DeFi yield strategies (initially Bitflow stable pools, later diversified across ALEX and Stacking DAO). The yield is distributed as follows: **70% to Backers** (proportional), **20% to Platform** (CineX), **10% to Creator Bonus** (conditional on milestone performance). If a creator misses 3 or more milestones, the bonus is forfeited and redistributed 77/23 between backers and platform.

4

Dual-Currency Wallet (NGN + USD)

Every user gets a wallet with **three balances** (NGN, USD, sBTC) backed by a single on-chain sBTC position in a Pillar smart wallet. Global backers fund in USD; Nigerian creatives receive in NGN. The conversion happens automatically at parallel market rates with a 0.75% spread. Users never see blockchain addresses, sign transactions, or pay gas fees — sponsored transactions abstract away the entire blockchain layer.

Business Model — How CineX Generates Revenue

CineX has **six revenue streams**, each with different margin profiles and growth trajectories:

Platform Yield Share (20%)

20% of all yield generated from idle escrow capital deployed via DeFi strategies. Gross margin ~90%+.

Driver: Total financings $\times$ average escrow period $\times$ APY.

Example: \$1M deployed at 8% APY $\times$ 6-month avg hold = \$40k yield $\rightarrow$ \$8k platform revenue.

Cross-Currency Spread (0.75%)

0.75% spread on every NGN ↔ USD conversion. Gross margin ~70%. Industry standard: Wise 0.41–1.5%, virtual card providers 1–3%, banks 3–5%.

Escrow Fee (5% per release)

5% fee on each milestone release, deducted from the released amount before it reaches the creator. Gross margin ~60%. Comparable to Kickstarter (5% + 3–5% processing), Indiegogo (5%), Republic (6–8%).

Analytics & Reports — Institutional Intelligence

Paid reports and dashboards for institutional stakeholders. Pricing: \$5,000/year for institutional reports (quarterly deep-dives with on-chain verified metrics); \$2,000/year for lead investor membership. Gross margin ~80%. CineX sits on unique data: real on-chain verified creative financing activity in Africa.

Lead Investor Membership — Curated Deal Flow

Annual membership fee for backers who want priority access: first look at vetted projects, direct introductions to gatekeepers, co-investment syndicate participation. Pricing: \$2,000/year. Gross margin ~90%. Initial target: 10–20 members in Year 1.

Forfeited Creator Bonus (30% share)

When a creator misses ≥ 3 milestones and forfeits their 10% yield bonus, 30% of the forfeited bonus goes to the platform. Gross margin ~100%. Not a target — this is a safety valve aligned with creator success, not platform revenue optimization.

Market Opportunity

CineX addresses a **layered market** with three concentric addressable segments:



Segment	Annual Value	Geography	CineX Relevance
Nollywood film financing	\$500M+	Nigeria	Direct – 34 gatekeepers already engaged
Afrobeats music production	\$300M+	Nigeria / Ghana	Direct – gatekeeper network covers label heads
African gaming / game dev	\$200M+	Pan-Africa	Emerging – dedicated pilot projects planned
Pan-African creative economy	\$5B+	Sub-Saharan Africa	Medium – expansion target for Year 2+
Global creative economy financing	\$200B+	Global	Long-term vision – infrastructure layer for all creative IP

Competitive Landscape (No Names, No Direct Competitors)

Category	Approach	Gap	CineX Advantage
Donation Crowdfunding	All-or-nothing, no accountability	Backers bear full risk; no verification	Milestone-gated with identity verification
Revenue-Based Financing	Requires revenue history	Most African creatives have no revenue track record	Gatekeeper vouching replaces credit history
Impact / Grant Funds	Application-based, slow	Months to decision; one-size-fits-all	Programmatic, fast, project-specific
Traditional Bank Loans	Collateral + credit score	Excludes 80%+ of creatives	Zero collateral required; work-based trust
Western crowdfunding platforms	Global but Western-centric	No Africa-specific tribes, no NGN support	Built for Africa's cultural reality; NGN/USD native

Go-to-Market — The Gatekeeper Model

CineX's GTM strategy is built on two wedges that work together: a **Product Wedge** (what we build first) and a **Market Wedge** (how we enter and spread).

Product Wedge — Start With What Works

Rather than building a full marketplace from day one, CineX launches with a single, focused product: **milestone-gated creative financing**. This is the wedge — a simple, high-value transaction between backers and creators secured by smart contracts. Everything else (yield, currency conversion, analytics, membership) layers on after the core transaction flow is proven.

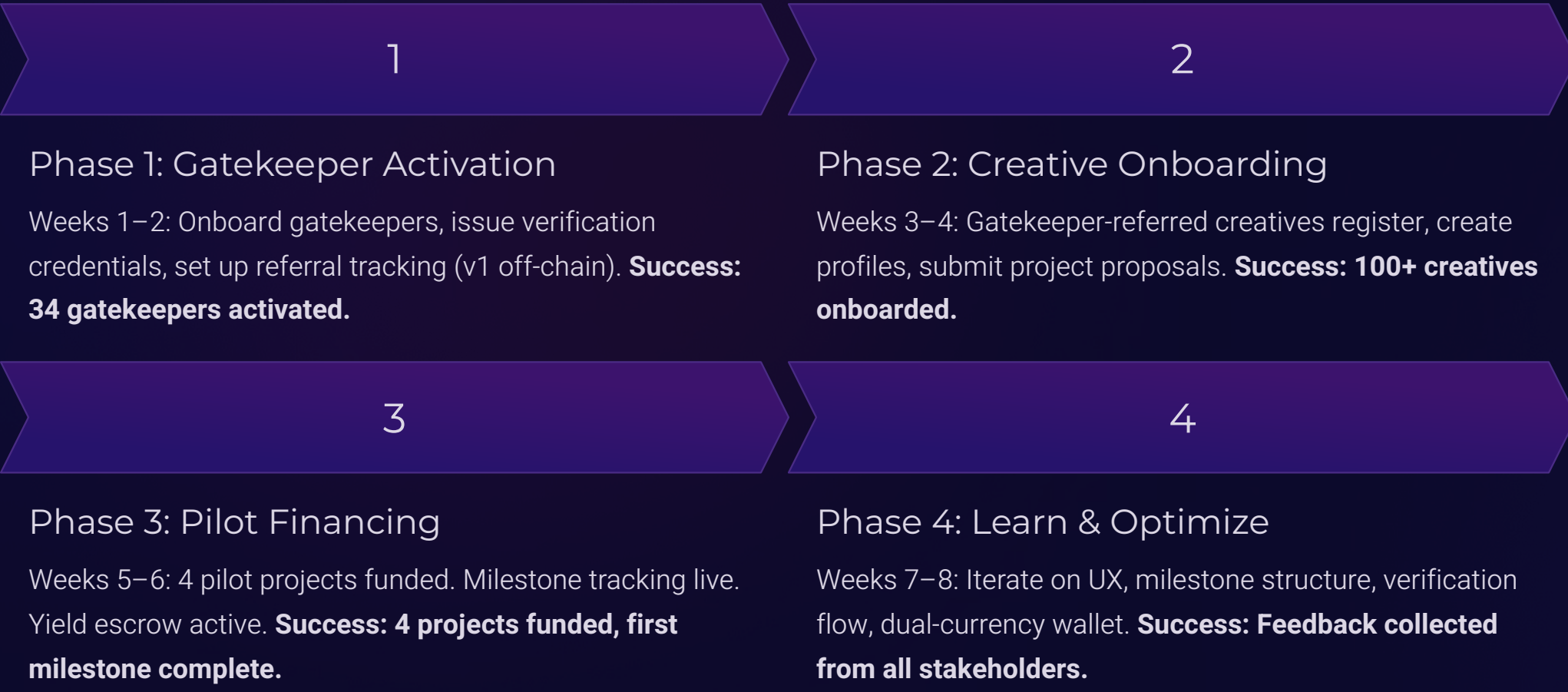
The product wedge philosophy: one clear job done extremely well → user trust → permission to expand.

Market Wedge — Tribal Trust Networks

In Africa, adoption is tribal. People join platforms because someone they trust brought them. CineX's market entry is built around this cultural reality: **tribesmen decide the success of a village**. We do not buy ads. We earn trust. One gatekeeper endorsement unlocks their entire network.

- **Identify gatekeepers** — Guild leaders, association presidents, influential producers, label executives, festival curators with existing networks of 100+ creatives
- **Build trust first** — In-person meetups, listening sessions, product demos. No sales pitch. The team spent months doing this across Nigeria.
- **Gatekeeper vouches** — A gatekeeper endorses a creative's project before it can raise capital on CineX. This is the identity verification step.
- **Network unlocks** — Each gatekeeper brings their tribe organically. 34 gatekeepers × 100+ creatives each = 3,400+ potential users at zero marginal cost.

Validation Sprint (Q2 2026 — 8 Weeks)



Pilot Projects

Four pre-identified pilot projects spanning creative verticals will launch within the first 60 days of mainnet deployment:



Rain — Series Development

A gripping Nigerian drama series exploring love, loss, and redemption against the backdrop of Lagos — CineX's first episodic milestone model. **Creative Producer:** Ogochukwu Umeadi. [LinkedIn](#) [Concept Document](#)



Death of Eternity — Narrative Feature Film

A thought-provoking feature film that questions immortality, legacy, and the price of forever — a showcase for CineX's full lifecycle milestone model. **Creative Producer:** [Achor Yusuf](#). **Original Writer:** [Kyuka Lilymjok](#). [Concept Document](#)



PrePARE VR — Immersive Media / VR Experience

An immersive virtual reality training simulation preparing users for real-world emergency response situations — combining education with experiential storytelling. CineX's first immersive media pilot. **Founder:** [Oluwasegun Olowoniyi](#). [Website](#) [Demo](#)



Northern Travels — Documentary / Travel Content

A documentary travel series exploring the rich cultural heritage, landscapes, and untold stories of Northern Nigeria — bridging regional narratives to global audiences with milestone-gated production financing.

Technology Architecture & Security

CineX is built on a modular, security-first architecture with **29 smart contracts** organized across 9 layers, all deployed and tested on Stacks testnet.

Layer 1: Smart Contracts

29 Clarity contracts on Stacks testnet across 9 layers: Admin, Oracle/Reputation/Verification, Campaign, Escrow, Yield, Strategy, Milestone Verification, Funding Pool, and Base. All contracts are immutable — the 2-of-3 multisig can only pause or emergency-withdraw, not change contract logic.

Layer 2: Dual-Currency Wallet

Every user gets a wallet with three balances (NGN kobo, USD cents, sBTC sats) backed by a single on-chain sBTC position in a Pillar smart wallet. Rate service (Astrum API primary, admin hardcoded fallback) provides parallel market NGN/USD rates with 5-minute caching and 0.75% platform spread.

Layer 3: Frontend

Self-contained landing page at cine-x-iota.vercel.app built with inline CSS and JavaScript (no build step, no framework). A full React/Vite application with role-based dashboards, activity feeds, AI credibility summaries, and demo mode is designed and ready for the next development sprint.

Layer 4: Backend

Node.js + SQLite backend providing off-chain services: rate fetching and caching, dual-currency wallet bookkeeping, feed indexing, and AI credibility summaries. Deployed on Render with health endpoint verified.

Security & Risk Management

CineX underwent a comprehensive security audit across all smart contracts. **7 findings were identified and fixed; zero critical issues remain unaddressed.**

Severity	Found	Fixed	Description
Critical	3	3 ✓	Arithmetic underflow from let-binding before assertions (bitflow-strategy, yield-escrow); inverted capacity check (Co-EP module)
High	1	1 ✓	Double integer truncation causing failed withdrawals in yield-escrow — fixed with ceiling division
Medium	2	2 ✓	State reads before authorization check; zero exchange-rate guard missing
Low	2	2 ✓	Missing emergency ops log (yield-escrow — acknowledged for v2); strategy hardcoding (accepted for v1 mock)

Security Architecture

- **2-of-3 multisig admin** — No single signer can execute admin actions. Two must propose + confirm.
- **24-hour timelock** — All non-emergency admin actions are queued with a 24-hour delay, giving users and the third signer time to detect and cancel malicious proposals.
- **Emergency bypass** — For active exploits, the multisig can directly pause contracts and emergency-withdraw funds, bypassing the timelock.
- **Clarity language safety** — Checked arithmetic (overflow/underflow traps by default), non-reentrant by design, explicit error handling.
- **Immutable contracts** — No upgrade proxies. If a bug is discovered post-deploy, the team deploys v2 and users migrate. This is a deliberate trade-off favoring auditability.
- **Oracle safety** — Price updates push through the multisig with timelock delay for large deviations. Stale price detection prevents fee computation with outdated data.

Key Risk Mitigations

- **Oracle price manipulation** (Low likelihood): Multisig-pushed prices; timelock delays large changes 24h; fallback hardcoded price
- **DeFi protocol hack (Bitflow)** (Low likelihood): % of TVL capped per pool; emergency-withdraw bypasses timelock
- **Reputation sybil attack** (Medium likelihood): Only KYC'd verified users can rate; one rating per target; default reputation score of 50%
- **Multisig signer compromise** (Low likelihood): 2-of-3 threshold; 24h timelock gives detection window; third signer as independent oversight
- **Creator misses milestones** (Medium likelihood): ≥ 3 missed $\rightarrow$ bonus forfeited $\rightarrow$ redistributed to backers; market forces reasonable deadlines
- **NGN volatility >5% daily** (Medium likelihood): Large conversions require rate acknowledgment; USD is canonical store of value
- **Backer chargeback (card)** (Low likelihood): 7-day hold on card deposits (new); 3 days (verified); NGN bank transfers have zero hold (irreversible)

Financial Projections & Use of Funds

All projections follow a consistent structure: **Assumptions** → **Detailed Calculations** → **Summary**. Every number can be traced back to its [assumptions](#). This section models a **conservative base case** — a realistic worst-case that still reaches profitability by Year 3.

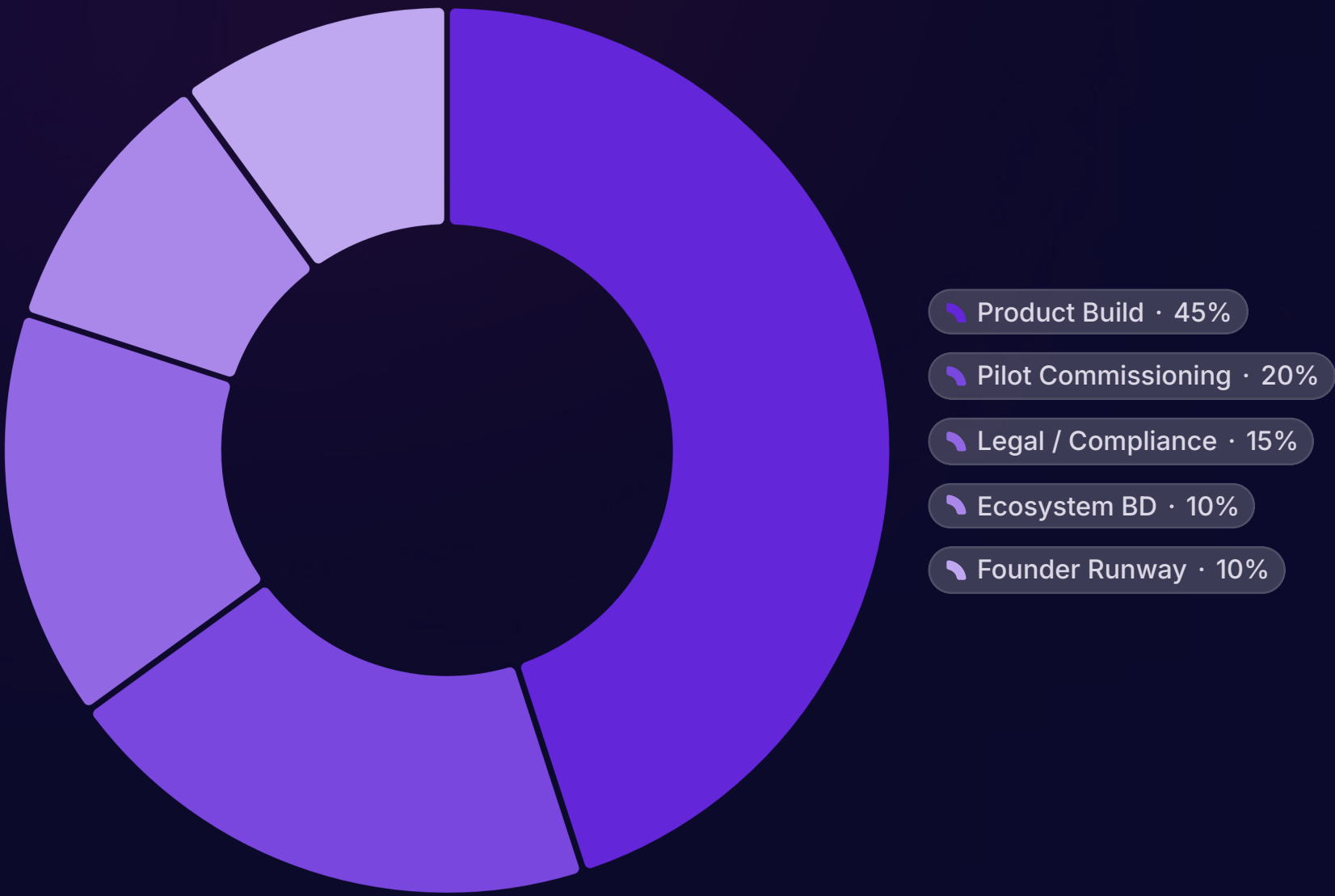
Consolidated Projection (Base Case)

Metric	Year 1	Year 2	Year 3
Projects Financed	40	120	250
Total Escrow Volume	\$360,000	\$1,800,000	\$6,000,000
Avg Escrow Period	6 mo	5 mo	4 mo
Yield Generated	\$14,400	\$60,000	\$160,000
Platform Revenue	\$88,905	\$256,500	\$666,000
— Escrow Fees (5%)	\$18,000	\$90,000	\$300,000
— Yield Share (20%)	\$2,880	\$12,000	\$32,000
— Currency Spread	\$2,025	\$22,500	\$90,000
— Analytics & Reports	\$45,000	\$80,000	\$120,000
— Lead Investor Membership	\$20,000	\$40,000	\$60,000
— Incidental (77/23 Yield)	\$1,000	\$12,000	\$64,000
Operating Expenses	\$384,000	\$440,000	\$500,000
Net Income	(\$295,095)	(\$183,500)	\$166,000

Path to profitability: Year 3 break-even crossed at \$666k revenue on \$500k expenses — driven by escrow volume scaling to \$6M+ and subscription revenue compounding. Year 1 revenue is \$88.9k across all streams, covering 23% of \$384k operating expenses. The gap narrows in Year 2 (47% coverage) and flips positive in Year 3 (133% coverage).

Use of Funds — \$600,000 Pre-Seed Round

CineX is raising **\$600,000** in a pre-seed round at a **\$5M post-money valuation** (\$4.4M pre-money). Anchor allocations of \$100k–\$250k are available.



Category	Amount	Details
Product Build	\$270,000 (45%)	Mainnet deployment, dual-currency wallet build and audit, React dashboard (creator + backer), AI credibility summaries, wallet abstraction frontend, integration testing
Pilot Commissioning	\$120,000 (20%)	Fund 4 pilot projects (\$15k–\$30k each), gatekeeper onboarding incentives, creative onboarding support, milestone tracking operations
Legal / Compliance	\$90,000 (15%)	SEC registration (Nigeria), legal structuring (Panama or similar), smart contract audit (third-party), regulatory counsel for cross-border payments
Ecosystem BD	\$60,000 (10%)	Gatekeeper expansion (Pan-Africa), partnership development (DFIs, impact funds), conference participation (AfroNolly, GDC, SXSW), community management
Founder Runway	\$60,000 (10%)	12-month operational runway for 2 founders at \$2,500/month each. Lean startup approach — all team members have existing income streams.

Team, Roadmap & Risks

CineX is built by a team with deep expertise across creative production, financial technology, blockchain engineering, and the Nigerian creative ecosystem.



Victor Omenai
— Technical Founder

Victor conceived CineX from direct experience in the African creative economy. He designed the full smart contract architecture (29 contracts across 9 layers), led product discovery with 34 gatekeepers, built the economic model, and drives product strategy and fundraising. His background spans fintech product design, blockchain engineering, and creative project management.



Stephanie Ukiwe
— Product Design

Stephanie leads product design, user experience, user research, and brand identity. She defines how creatives and backers interact with CineX — from onboarding flows to milestone tracking dashboards — ensuring the platform is intuitive for users who have never touched blockchain technology.



McDaniells Albert
— Full-Stack Engineer

McDaniells builds the frontend architecture and API services that connect users to the smart contract layer. He handles all web development, smart contract integration in the UI, and ensures the platform performs reliably for creators and backers across Africa.



Theophilus Adelekun
— Project Manager

Theophilus manages operations, milestone tracking across active projects, and creative partner coordination. He ensures that every pilot project stays on schedule, milestones are verified properly, and the gatekeeper pipeline is maintained.

Advisors

Setzeus

Clarity Smart Contracts OG — Stacks Ecosystem Projects Engineering Audit — CineX Mentor. Setzeus provides senior technical guidance on Clarity contract architecture, security patterns, and Stacks ecosystem best practices.

Gary Riger

Clarity Smart Contracts Working Group Host — Stacks Ecosystem Strategy. Gary brings deep knowledge of the Stacks developer community and ecosystem-level strategic positioning for DeFi protocols.

Stephen Perrino

Stacks Ecosystem OG Media & Communication Lead & Host DeOrganized Media. Stephen advises on community building, go-to-market messaging, and bridging blockchain technology to mainstream creative audiences.

Roadmap & Milestones



Risks & Mitigations

Risk	Severity	Mitigation
Gatekeeper attrition — committed gatekeepers do not actively onboard creatives	Medium	Two-phase referral strategy. v1 (off-chain): Each gatekeeper gets a unique referral code stored in the platform database. A simple dashboard shows their referral count, active projects, and leaderboard rank. Top referrers earn platform fee discounts and public recognition. v2 (on-chain): Smart contract distributes a percentage of escrow fees back to gatekeepers based on verified project outcomes (not signups — completion-based rewards). Outcome-based incentives ensure gatekeepers refer quality creatives, not volume.
Creator quality — pilot projects fail to deliver	Medium	Milestone-gated payouts prevent full loss; 3-milestone miss threshold triggers forfeiture; gatekeeper vouching provides pre-screening
Regulatory uncertainty — Nigerian SEC / CBN regulations change	Medium	Legal counsel engaged; Panama structuring for token wrapper; multiple jurisdictional options maintained
Slow adoption — target users prefer existing informal financing	Low	Gatekeeper model directly addresses informal trust networks; zero-collateral entry is transformative; NGN support removes friction
Currency risk — NGN hyperinflation / parallel market collapse	Low	USD is canonical store of value; NGN is only a display/transaction layer; all on-chain value is sBTC
Smart contract vulnerability discovered post-deploy	High	Immutable contracts require v2 deploy; emergency-withdraw can rescue funds; audit already conducted (7/7 fixes)
Stacks network congestion / downtime	Low	Off-chain wallet abstraction means users never directly interact with the chain; backend queues transactions
DeFi strategy (Bitflow) pool hack	Low	% of TVL capped per pool; multi-strategy diversification planned; emergency-withdraw available
Oracle price feed manipulation	Low	Multisig-pushed prices; timelock for large changes; fallback hardcoded rate
Wallet abstraction Pillar dependency	Medium	Custom embedded wallet SDK planned for post-MVP; sponsored transactions have fallback path